

Brief Concept Note: Providing Hajj and Umrah Services on Credit

Can someone pay for Hajj or Umrah on credit?

Imagine a person who wants to perform Umrah or Hajj but does not have enough money to pay for the entire package immediately.

Before we begin the topic, several questions may arise in the mind of a businessman who is planning to start services in this field, such as:

- Can I offer Hajj or Umrah packages on credit in instalments?
- Is it permissible in Islam to charge a higher price when a customer pays later?
- Will this arrangement involve Riba?
- Can I charge the customer to pay the amount in monthly instalments?
- What kind of Islamic contract should I use for the service?
- Do rules differ between Hajj and Umrah?
- If a customer cannot afford Hajj and Umrah at present, can I provide the service on credit?
- What do Contemporary scholars and Islamic finance standards say about such an arrangement?

Credit does not automatically mean Riba. So, before concluding that every credit transaction involves Riba, let us first look at what the Qur'an and Hadith say about credit and loans. One of the most important Qur'anic references is *Ayat ad-Dayn* (The Verse of Debt) in Surah Al-Baqarah, Ayah 282. This verse discusses debt transactions and gives guidance on how such transactions should be recorded and handled fairly.

وَلْيَكْتُبْ بَيْنَكُمْ كَاتِبٌ بِالْعَدْلِ

walyaktu b-baynakum katibum bil'adl(i).

And let a scribe write it between you in justice.

وَلَا يَأْبَ كَاتِبٌ أَنْ يَكْتُبَ كَمَا عَلَّمَهُ اللَّهُ ۚ

walā yaa' ba katibun 'an y-yaktuba kamā 'al-lamahu l-lāh.(u)

Let no scribe refuse to write as Allah has taught him.

فَلْيَكْتُبْ وَلْيُمْلِلِ الَّذِي عَلَيْهِ الْحَقُّ وَلْيَتَّقِ اللَّهَ رَبَّهُ وَلَا يَخْسُ مِنْهُ شَيْئًا

falyaktub walyumlili l-ladhi 'alayhi l-haq-qu walyat-taqi l-lāha rab-bahū walā yabkhs minhu shay'ā

So let him write, and let the one who has the obligation [i.e., the debtor] dictate. And let him fear Allāh, his Lord, and not leave anything out of it.

فَإِنْ كَانَ الَّذِي عَلَيْهِ الْحَقُّ سَفِيهًا أَوْ ضَعِيفًا أَوْ لَا يَسْتَطِيعُ أَنْ يُمِلَّ هُوَ فَلْيُمِلْ وَلِيُّهُ بِالْعَدْلِ ۚ

*fa'in kāna l-ladhi 'alayhi l-ḥaq-qu safīhan 'aw ḍa'ifan 'aw lā yastaṭī'u 'an y-yumil-la huwa falyumlil waliyy-
yuhū bil'adl(i).*

But if the one who has the obligation is of limited understanding or weak or unable to dictate himself, then let his guardian dictate in justice.

وَلَا تَسْمُوا أَنْ تَكْتُبُوهُ صَغِيرًا أَوْ كَبِيرًا إِلَىٰ أَجَلٍ ۚ

[walā tas'amū 'an taktubūhu ṣaghīran 'aw kabīran 'ilā ajalib(i),]

And do not be [too] weary to write it, whether it is small or large, for its [specified] term.

ذَٰلِكُمْ أَقْسَطُ عِنْدَ اللَّهِ وَأَقْوَمُ لِلشَّهَادَةِ وَأَدْنَىٰ أَلَّا تَرْتَابُوا ۚ

[dhālikum 'aqsatu 'inda l-lāhi wa'aqwamu lish-shahādati wa'adnā 'al-lā tartābū,]

That is more just in the sight of God Allāh and stronger as evidence and more likely to prevent doubt between you,

إِلَّا أَنْ تَكُونَ تِجْرَةً حَاضِرَةً تُدِيرُونَهَا بَيْنَكُمْ فَلَيْسَ عَلَيْكُمْ جُنَاحٌ أَلَّا تَكْتُبُوهَا ۚ

['il-lā 'an takūna tijāratan ḥaḍīratan tudīrunahā baynakum falaysa 'alaykum junāḥun 'al-lā taktubūhā,]
except when it is an immediate transaction which you conduct among yourselves. For [then]
there is no blame upon you if you do not write it.

وَأَشْهِدُوا إِذَا تَبَايَعْتُمْ ۚ

[wa'ashhidū 'idhā tabāy'tum,]

And take witnesses when you conclude a contract.

وَلَا يُضَارَّ كَاتِبٌ وَلَا شَهِيدٌ ۚ

[walā yuḍār-ra kātibun walā shahīdun,]

Let no scribe be harmed or any witness.

وَأِنْ تَفْعَلُوا فَإِنَّهُ فُسُوقٌ بِكُمْ ۚ

[wa'in taf'alū fa'in-nahū fusūqun bikum,]

For if you do so, indeed, it is [grave] disobedience in you.

وَاتَّقُوا اللَّهَ ۚ

[wat-taqu l-lāh(a),]

And fear God Allāh.

وَيُعَلِّمُكُمُ اللَّهُ ۚ

[wayu'al-limukumu l-lāh(u),]

And God Allāh teaches you.

[*wal-lāhu bikul-li shay'in 'alim(un)*]

And God (Allāh) is Knowing of all things.

So, in short, the ayah explains. If you take a loan and incur debt for a fixed period, write the agreement down; it should be written fairly and clearly. The debtor should state what he owes and should not hide or reduce anything. If the debtor cannot explain the agreement properly, a guardian or representative can do it fairly. Have a witness to support the agreement; even if the debt is small, writing it down is important, and it prevents future disagreements. Witnesses and writers should not be harmed or pressured. In conclusion, Allah teaches us to be honest, clear, fair, and careful in financial dealings.

If we see the first question: “Can I offer Hajj or Umrah packages on credit in instalments?” the answer to this question would be “Potentially yes” Islam does not prohibit **getting the product or service now but paying for it later**, either all at once or on a future date or in instalments (nothing but **deferred payment**). If any business agrees with the customer that the customer will pay for the service later or in instalments, the arrangement itself is shariah-compliant. It is important to know what kind of services does that company wants to provide in Islamic microfinance. We have many options, such as Qardh al-Hasan, Murabaha, Ijarah, Wakalah.

If we consider Qardh al-Hasan, we can see that credit transactions, loans (*Qard* or *Istiqrad*), and deferred payments are governed by strict ethical and legal rules. **Salam contracts** is allowed, provided the terms, descriptions, and deadlines are fixed and clear.

The contract must clearly state important information such as

- Total Price
- Instalment dates
- Other important terms

For example, if we see packages from India for Umrah, the minimum package price starts with Rs. 1,50,000, and the maximum package goes up to 4,00,000.

Ex:

A Company offers a package for Rs. 1,50,000. The person does not have enough money. An institution gives them an interest-free loan (**Qardh al-Hasan**) of 1,50,000, and the person agrees to repay 1,50,000 in monthly instalments.

Total Price: Rs.1,50,000

The payment schedule will be for 5 months

1,50,000/10=30,000

- 15,000-1 September
- 15,000-1 October
- 15,000-1 November
- 15,000-1 December
- 15,000-1 Jan

- 15,000-1 Feb
- 15,000-1 March
- 15,000-1 April
- 15,000-1 May
- 15,000-1 June

Business problem

Qard Hasan is excellent socially but difficult as a commercial business model because:

Money goes out → the same money comes back → no financing profit.

Therefore, it is more suitable for:

- Charity
- Waqf
- Community funds
- Employee assistance
- Social-finance programs

rather than a normal profit-making travel company.

Murabaha is a sale where the seller tells the buyer the original cost and adds a known profit.

I buy something first → I own it → I sell it to you at a disclosed higher price → you can pay me later.

The customer's deferred payment is allowed because it is structured as a **sale**, not as a **cash loan** where interest is charged for time. For example, if an eligible underlying item costs you **₹1,50,000**, you may sell it to the customer for **Rs.1,65,000 payable over 12 months**. The ₹15,000 is your agreed profit from the sale, not "Rs.15,000 interest." However, the structure must genuinely satisfy the conditions of Murabaha; simply taking a Rs.1,50,000 travel bill and adding ₹15,000 does not automatically make it Murabaha.

For an Umrah business, **Murabaha should not simply mean giving the customer Rs. 1,50,000 and taking back ₹1,65,000 later**. Murabaha is a sale where the business purchases an eligible asset or item, takes ownership/possession as required, and then sells it to the customer at a known profit. Since an Umrah package contains many **services**—flight, hotel, visa processing, transport, food, etc.—you cannot automatically treat the entire package as Murabaha. Instead, the package should be divided according to the nature of each component. Eligible assets may use **Murabaha**, while services may be handled through contracts such as **Ijarah or Wakalah**, subject to Shariah review.

For example, a customer selects an Umrah package costing **₹1,50,000**. Your company identifies the different components and uses the appropriate Islamic contract for each. After properly structuring the transaction, the customer's agreed total price could, for example, be **₹1,65,000**, payable in **12 fixed instalments of ₹13,750**. The customer knows the total amount from the beginning, and it does not increase because of late payment or the passage of time. For an Indian

startup, a safer approach may be to work with a **properly regulated financing partner** and a qualified Shariah scholar rather than directly giving cash loans to customers. The exact structure should also be reviewed under Indian financial and consumer laws before launching.

For example, suppose an Umrah package costs **Rs. 1,50,000**. Your company can use **Wakalah** for services where you act as the customer's agent—for example, arranging the visa, flight booking, and other travel arrangements—and charge a clearly agreed service/agency fee.

Ijarah can be used where the customer is paying for the right to use a service or facility for a specific period, such as **10 nights of hotel accommodation or transportation during the Umrah trip**. So, instead of treating the whole Rs.1,50,000 as a loan, the package can be structured using the appropriate contract for each part:

Wakalah for agency/arrangement services and Ijarah for eligible accommodation or transport services. A qualified Shariah scholar should review the actual contracts, and Indian legal/regulatory requirements should also be checked before offering it commercially.

Suggestion: It's better to **start with** simply a savings plan specifically designed for Hajj or Umrah.

Example:

If Hajj is expected to cost Rs. 3,00,000 and you have 3 years to prepare:

Rs. 3,00,000 ÷ 36 months = Rs. 8,333 per month

You could save around Rs. 8,333 every month in a suitable Shariah-compliant savings/investment plan.

This helps the person avoid needing a large amount of money at one time.

Instead can also follow this Shariah-compliant investment-based Hajj plan:

You could potentially design a product where people contribute monthly, and the money is invested in **Shariah-compliant assets**.

Example:

**Customer contributes ₹8,000/month→Money goes into a Shariah-compliant investment
--→Investment generates potential profit--→Customer withdraws the accumulated amount for Hajj.**

This is more interesting from an **Islamic finance research/business perspective**, but the investment structure, custody, advice, distribution, and regulatory permissions need to be carefully designed.

Sources Used:

[https://www.researchgate.net/publication/396168099_Shariah-Compliant Financial Services for Hajj and Umrah Products Challenges and Policy Recommendations](https://www.researchgate.net/publication/396168099_Shariah-Compliant_Financial_Services_for_Hajj_and_Umrah_Products_Challenges_and_Policy_Recommendations)

[file:///C:/Users/Anjum/Downloads/63-72+\(1534\)+Imam+Mawardi_Cashflow+-+Hajj+and+Umrah+Savings+Financing+Study+of+Financing+Model+at+PT+Hannan+Nusantara+in+the+Perspective+of+Maqashid+Sharia.pdf](file:///C:/Users/Anjum/Downloads/63-72+(1534)+Imam+Mawardi_Cashflow+-+Hajj+and+Umrah+Savings+Financing+Study+of+Financing+Model+at+PT+Hannan+Nusantara+in+the+Perspective+of+Maqashid+Sharia.pdf)

<https://www.linkedin.com/pulse/smart-financial-planning-perform-hajj-umrah-maybank-vs/jhc>

https://en.wikipedia.org/wiki/Qard_al-Hasan

<https://fiqh.islamonline.net/en/umrah-in-credit-form/>

https://www.iium.edu.my/deed/hadith/muslim/010_smt.html

<https://quran.com/al-baqarah/245>

<https://quran.com/al-baqarah/282>